



**QUIDEL THIRD QUARTER 2016
CONFERENCE CALL SCRIPT
Wednesday, October 26, 2016
2:00 p.m. PT/ 5:00 p.m. ET**

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation third quarter 2016 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Randy Steward, Quidel's Chief Financial Officer. Please go ahead.

Randy Steward

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and chief executive officer, Doug Bryant and Ruben Argueta, Director of Investor Relations.

Our third quarter 2016 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on October 26th, for a period of 24 hours. Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. It is possible that actual results and performance could differ significantly from these stated expectations. For a discussion of risk factors, please review Quidel's annual report on Form 10-K, registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, October 26, 2016. Quidel undertakes no obligation to revise or update any statements to reflect

events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three and nine months ended September 30, 2016. If you have not received our news release, or if you would like to be added to the company's distribution list, please call Ruben at 858-646-8023.

For today's call, Doug will report on the highlights of the third quarter and provide updates on our product development pipeline. I will then briefly discuss our financial results and we'll open the call for your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Randy, and good afternoon everyone. Total revenue for Q3 was \$49.3 million dollars, up 5% from \$46.8 million in the same period in 2015. On the surface, our growth rate in the quarter may seem modest, but given how unpredictable Q3 distributor ordering can be, I would suggest that it's reasonable, and, importantly, that the

underlying fundamentals of our business are unchanged. I would point out that revenue that is driven by shipments to distribution in advance of an undefined respiratory season is not necessarily a lagging indicator of commercial performance, and may not represent the growth and traction that a company is seeing at the end-user level. And that is certainly true in our case. For today's call, I'll talk about leading indicators of longer term revenue growth, which were positive; the impact of timing of orders and inventory on rapid immunoassay test revenue in the quarter; and how we are doing with our other key growth drivers.

To begin, there are a number of leading indicators that are a pretty good measure of how well we are doing at the end-user level and that can portend impending success - or the opposite I would suppose. For example the number of amendments and renewals to multi-year Sofia agreements is a good indicator, because it would support what our distributor partners have told us in terms of the stability of the existing installed base. The good news is that the number of amendments and renewals to existing Sofia agreements in the quarter was significant; therefore the number of customers that was lost is few, just as in previous

quarters. Additionally, the number of Sofias connected to the Virena cloud would be another indicator of stability, and that number increased noticeably as well. Next, the number of new Sofia agreements and placements is another great leading indicator. In Q3 2016, the number of Sofia instruments shipped was up 37% over the prior year period, and was one of our larger placement quarters since the launch of Sofia. Overall our Sofia business has been a home run for us, appears to be robust, and with Vitamin D, Lyme and other assays, and Sofia 2, is likely to grow as projected, on a path to a number of instruments approaching 30,000. In addition, Solana instrument placements for Group A Strep confirmatory testing were noticeable in the quarter, all of which are incremental to Q3 2015. Clearances to market our Solana products in the US are a performance metric for both our R&D and Clinical and Regulatory teams, but they are also a leading indicator of the potential for commercial success. In that regard, we've recently announced the availability of three new Solana products - Trichomonas, Influenza A+B, and Strep Complete, our confirmatory assay for Strep A and pyogenic C/G - which are each in the early stages of market introduction.

Next, leading indicators aside, shipments to distribution of our rapid immunoassay test products in September were softer than we would have liked, driven by a number of factors. At the end-user level, many of our larger customers, given lighter respiratory disease prevalence in Q1 of this year, did not burn through a significant portion of the inventory that they had purchased previously. As a result, sales from distribution warehouses to our influenza customers were lower versus the prior year quarter by \$2 million. To illustrate this point, one of our large new alternate site customers, encouraged by a distribution promotion, purchased \$1.2 million in Sofia Influenza and Strep in September 2015, but did not need to re-purchase in Q3 of this year, and did not. And of course, even when promotional incentives are in place, the knock-on effect of lower depletion of inventory than expected at the customer level, is less demand for building inventory at distribution centers, at least until distributors see CDC data showing ILI above 2%, or perhaps until we show them Virena data indicating an uptick in influenza testing and positive test results. And so, while inventory built and on hand at distribution sites in Q3 was substantially higher than Q2 of this year as you would expect, inventory of the top four rapid

immunoassay tests was about 13% lower than we saw in Q3 2015. In fact, had inventory simply been at the level it was last year at the end of Q3, our revenue in the quarter would have been \$4.2 million higher.

And finally, we did see revenue growth in our non-seasonal franchises, although in fairness those businesses are smaller. Nevertheless, their revenue and margin contributions are helpful. Thyretain, our high margin Graves' disease product, grew 7% over the prior year quarter. Our bone health and complement pathway assay business, which is also highly profitable, grew 21%, due in large part to the acquisition of Immutopics earlier in the year. And finally, revenue and margin for our molecular business, with the ongoing launch of Solana Group A Strep, have accelerated, with revenue growing 103% over the prior year quarter, as several larger customers went live.

In summary, Q3 was a solid quarter. Our R&D and Clinical and Regulatory teams performed well, as they always do. Our manufacturing operations groups continued to look for ways to lower costs and boost productivity. And, as

evidenced by the recent launch of Solana Influenza A+B, we've closed some of the gap between USA FDA clearance and sales to customers, which further demonstrates the improving efficiency of our commercial organization and our distribution partners. Once again, the underlying fundamentals of our business are unchanged, and we remain focused on our longer term objectives, which we firmly believe are achievable.

Randy?

RANDY STEWARD

Thank you, Doug.

Third Quarter Financial Results

As we reported earlier today, total revenues for the third quarter of 2016 were \$49.3 million dollars, as compared to \$46.8 million dollars in the third quarter of 2015.

Global Infectious Disease revenues, which include QuickVue, Sofia, DFA cell culture, and molecular products, decreased 2 percent to \$32.8 million dollars in the third

quarter of 2016. Influenza revenues, which include Sofia, QuickVue, and DHI Respiratory products, decreased 9 percent to \$19.9 million dollars. QuickVue and Sofia Influenza inventory at distribution is down 26 percent versus the third quarter of last year, resulting in the year over year revenue decline.

In the third quarter of 2016, total Strep A revenue grew 19 percent to 7.7 million dollars driven by revenue growth from Sofia, Solana and Lyra assay products. RSV total product sales declined 11 percent to 1.4 million dollars, due to timing of distribution orders, inventories at distribution were down 38 percent versus last year.

Revenues for the Women's Health category increased 7 percent in the third quarter of 2016 to 10.2 million dollars. Growth in the category was led by Thyretain, which grew 7 percent, and our Bone Health and Complement business, which grew a combined 21 percent, mostly due to the Immutopics acquisition earlier this year.

Our Gastrointestinal product category revenues were 1.7 million dollars in the quarter, and our Other revenues were

4.7 million dollars. In the quarter, we received the final milestone based cash payment from the Bill and Melinda Gates Foundation. To date, we have spent in total more than the total grant monies of \$20.9 million dollars, and have achieved all payment related milestones. Based on these facts, we realized the remaining \$3.8 million dollars of Grant Revenue in the third quarter of this year. All of the Grant Revenue of \$20.9 million dollars has now been recorded.

Gross margin in the third quarter of 2016 was equal to last year at approximately 64 percent. The gross margin benefit of the incremental Grant Revenue was offset by product mix and lower manufacturing volumes.

For the third quarter, Research and Development costs were \$8.8 million dollars, an increase of \$400 thousand dollars, as we continue our investment in the Sofia 2 and Savanna platforms. Additionally, we had higher clinical trial costs for Solana products. Including yesterday's FDA clearance for Solana Strep Complete, we estimate that we could exit the year with a total of five Solana assays cleared and in-market.

For the full year, we continue to believe that our R&D spending will be in the range of \$39 to \$40 million dollars.

Sales and Marketing expenses were slightly below last year at \$11.9 million dollars, as lower compensation costs were partially offset by higher marketing activities, including Virena. For the full year, we expect that our S&M spending will be in the range of \$49 to \$50 million dollars.

General and Administrative expenses were \$6.6 million dollars in the third quarter of 2016. The increase versus last year was primarily due to business integration costs associated with the Immutopics acquisition this year, partially offset by the suspension of the medical device excise tax.

Our tax rate for the third quarter was approximately 35 percent, as compared to 59 percent for the third quarter of the prior year. The lower income tax benefit is primarily driven by a lower loss before income taxes for Q3 2016 versus Q3 2015.

Net loss for the third quarter of 2016 was 0.6 million dollars, or 2 cents per share, as compared to net loss of 0.8 million

dollars, or 2 cents per share, for the third quarter of 2015. On a non-GAAP basis, net income for the third quarter of 2016 was 3.2 million dollars, or 10 cents per diluted share, compared to net income of 1.7 million dollars, or 5 cents per diluted share for the third quarter of 2015.

Sofia and molecular revenues on a trailing twelve month basis were \$60.2 million dollars.

From a cash flow perspective, through the nine months ended September 30th, Operating activities used \$4.8 million dollars of cash and purchases of property and equipment, including intangibles, were \$7.9 million dollars. In the quarter, the company did not repurchase any common stock or convertible senior notes. Through nine months, the Company spent \$20.1 million dollars to repurchase shares of its common stock and \$4.5 million dollars to repurchase the convertible senior notes. As of the end of September, the company had no outstanding borrowings under its Senior Credit Facility and had \$153.4 million dollars in cash on the balance sheet.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. I look forward to sharing our progress with you over the next several quarters. Thanks again, everyone.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.